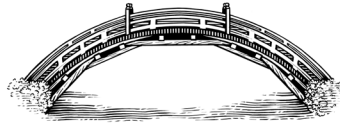




ESSAY SERIES ≈ TRADE POLICY

A New Era of U.S.-China Interaction: From Competing to Racing

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EXECUTIVE SUMMARY

This essay examines the U.S.-China trade war in 2025 as a possible turning point in the U.S.-China competition, arguing that the trade war created new power dynamics around a supply chain race that centers on leveraging chokepoints in critical minerals and advanced technologies.

MAIN ARGUMENT

The 2025 trade war fundamentally altered U.S.-China strategic competition. What began as a tariff dispute rapidly evolved into a supply chain war in which both sides sought to exploit single-source chokepoint vulnerabilities. These events revealed asymmetrical advantages and vulnerabilities on both sides: China holds a commanding advantage in critical minerals and magnets (and possibly other sectors) that are essential to U.S. defense and civilian industries, while the U.S. retains leverage through its dominance in advanced semiconductors and global financial networks. The result is a new bilateral dynamic best described as a race, with each side scrambling to reduce its own exposure while accumulating leverage over the other. A fragile stability has emerged from this mutual economic disruption, but it rests on shifting political calculations rather than structural interdependence, and the underlying competition continues to intensify across economic, technological, and geopolitical arenas.

POLICY IMPLICATIONS

- U.S. policymakers will be constrained in their trade negotiations with China given its leverage and confidence that arise from its dominance of critical mineral supply chains. The U.S. should also recognize that its national security export controls are now a core bargaining chip in economic negotiations with China, which has advantages and limitations.
- U.S. policymakers must accelerate their efforts to reduce these vulnerabilities, including through supply chain diversification, enhanced coordination with allies on export controls and investment screening, and expanded domestic investments. Effective U.S. competition will require unprecedented coordination among government agencies and the private sector, as well as a credible, long-term commitment to building resilient supply chains in semiconductors, critical minerals, and other strategic sectors.
- The current period of stability in U.S.-China relations should not be mistaken for a durable equilibrium. The U.S.-China framework reached in Busan in October 2025 rests on time-limited agreements and the personal diplomacy of two leaders, not structural constraints.

The United States and China are in the early years of an incipient strategic competition in which both nations are still setting the terms and negotiating the boundaries of their interactions. In that context, 2025 was an exceptional year in U.S.-China relations, marked by tariff escalation, brinkmanship over critical minerals, and the establishment of a fragile truce that left the underlying rivalry intact. No year since the onset of strategic competition has tested and shaped the U.S.-China relationship as much. Washington and Beijing came closer to outright economic warfare than at any point in the modern era and then stepped back. These events, some of which were dramatic in the moment, have unleashed new dynamics and, in doing so, altered the agendas, interests, and stakes of the two largest economies in the world.

The U.S.-China relationship is not a repeat of the U.S.-Soviet rivalry during the Cold War, but it may share some features of that rivalry. One such feature may be an evolution in distinct phases. Following the major events of 2025, U.S.-China competition may be entering a new phase, with new drivers, dynamics, and consequences. What might these be? This essay will examine and provide preliminary answers to this question. Consider this effort a “first cut” at the existing data set of bilateral interactions in the early years of the U.S.-China competition. The 2025 trade war may not have been as harrowing as the Berlin airlift of June 1948, but its impact may be no less significant on bilateral dynamics.

This essay will examine in detail the trade war of 2025. To be fair, drawing firm conclusions from a data set of roughly twelve months of interactions that just occurred (and are still unfolding) has inherent limits. But the U.S.-Soviet competition was punctuated—if not defined—by turning points, especially in the early years, and the same may be true for the United States and China. This essay will analyze the first major turning point in the early years of the U.S.-China strategic competition.

The essay proceeds in the following manner:

- ≈ pp. 80–83 establish an analytical baseline and control conditions for the impact of the trade war in 2025 by characterizing the major features of U.S.-China relations before then.
- ≈ pp. 84–98 analyze the key events of 2025 and early 2026 by dividing them into four distinct periods to identify significant dynamics.
- ≈ pp. 99–105 assess implications of the prior findings for bilateral relations.
- ≈ pp. 105–6 conclude the essay by offering some preliminary thoughts on the future of U.S.-China relations.

To briefly preview the major findings, this essay argues that the trade war and China's weaponization of rare earth export controls fundamentally changed the nature of this incipient competition. The events of 2025 were less a traditional tariff-focused trade war and more a supply chain war centered on leveraging chokepoints in technology and critical minerals. These events revealed new power dynamics in which the United States and China both demonstrated strengths and limitations. They also focused the competition on two goals: accumulating economic and technological leverage and reducing corresponding vulnerabilities. The trade war thus revealed the importance of positional power within global economic and technology networks to the broader competition. In this sense, the U.S.-China competition is now a race by each side to gain leverage over and reduce exposure to the other. The supply chains for semiconductors and rare earth elements are at the center of this race right now, but other supply chains could emerge in the future. To be sure, these conclusions are not meant to exclude other areas of competition, such as military affairs, but to instead suggest a clear prioritization in U.S.-China competition today.

SETTING A BASELINE: UNDERSTANDING U.S.-CHINA INTERACTIONS IN THE POST-COLD WAR ERA

Mutual Shaping

Since the end of the Cold War, U.S.-China interactions were largely an exercise—not in pure engagement, as is commonly asserted—but in the mutual shaping of the perceptions, policies, and behaviors of the other. As bilateral distrust grew from 1989 onward (following the end of the Cold War and the events at Tiananmen Square) and the gap in national capabilities began to shrink as China's economy took off, both Washington and Beijing adopted strategies of engagement and competition to influence the behaviors of the other—bilaterally, regionally, and eventually globally.¹

For the United States, this meant trying to elicit more and better cooperation from China in addressing shared challenges, ranging from

¹ For analysis of this era, see James Mann, *About Face: A History of America's Curious Relationship with China, from Nixon to Clinton* (New York: Knopf, 1999); Robert L. Suettinger, *Beyond Tiananmen: The Politics of U.S.-China Relations, 1989–2000* (Washington, D.C.: Brookings Institution Press, 2003); Evan S. Medeiros, ed., *Cold Rivals: The New Era of U.S.-China Strategic Competition* (Washington, D.C.: Georgetown University Press, 2023); Jeffrey A. Bader, *Obama and China's Rise: An Insider's Account of America's Asia Strategy* (Washington, D.C.: Brookings Institution Press, 2012); and Aaron L. Friedberg, *A Contest for Supremacy: China, America, and the Struggle for Mastery in Asia* (New York: W.W. Norton, 2011).

nonproliferation to currency and macroeconomic stability. This was paired with efforts to deter Beijing's more disruptive policies, such as on trade, Taiwan, human rights, and Chinese actions affecting U.S. allies. Washington did so by further pulling Beijing into the international system (i.e., joining the nonproliferation regime and the World Trade Organization), by directly negotiating with Beijing (with incentives and sanctions), and by shaping the strategic environment in Asia to constrain and delimit China's options. Since the 1990s, engagement has been only part of the U.S. playbook.

Beijing had a similar approach but was more focused on constraining U.S. actions that it perceived as undermining China's domestic and international interests. The dominant feature of Beijing's strategy was to counter perceived U.S. external containment and domestic destabilization of China. In the early 2000s, Beijing also initiated a major military modernization campaign to give it options for a Taiwan conflict.²

As China grew stronger economically and militarily, and as its global footprint expanded (especially in the 2010s), bilateral interactions became more dense, complex, and ultimately competitive. Washington had facilitated China's integration into—and its substantial benefit from—the U.S.-led global economic and trade order. But Beijing used that integration to resist U.S. power more often and to build quasi-alternatives to it. As the first decade of the 21st century passed, U.S. and Chinese interests diverged in more arenas and with greater intensity. Notably, the economic relationship—the proverbial ballast and propellor of bilateral ties—shifted from broadly complementary to broadly competitive as other differences emerged in the relationship.³

Contrary to the expectations of many, a stronger, wealthier, and more globally engaged China did not “buy into” the international system more.⁴ Rather, Beijing maximized the openness and flexibility of the system for itself; it also exploited the system's weaknesses and undermined its constraints. Xi Jinping's arrival on the scene in 2012 expanded and accelerated these trends toward greater freedom of action for China in the international system. Beijing bristled at preponderant U.S. power and viewed many aspects of the rules-based international order as inherently threatening, especially its liberal elements. In the 2010s, and especially under Xi, China began pursuing

² On China's strategy, see Evan S. Medeiros, *China's International Behavior: Activism, Opportunism, and Diversification* (Santa Monica: RAND Corporation, 2009); and Rush Doshi, *The Long Game: China's Grand Strategy to Displace American Order* (New York: Oxford University Press, 2021).

³ Evan S. Medeiros, “The Changing Fundamentals of U.S.-China Relations,” *Washington Quarterly* 42, no. 3 (2019): 93–119.

⁴ Kurt M. Campbell and Ely Ratner, “The China Reckoning: How Beijing Defied American Expectations,” *Foreign Affairs*, March/April 2018, 60–70.

various ways to circumvent the system while also building alternatives to it. Those motivations and policies remain prominent today.⁵

Strategic Competition Emerges

These bilateral forces eventually converged around 2018 to produce a new era: strategic competition. As argued above, the competitive dynamics had been growing for many years, but the Trump administration, with its more hawkish views on China, gave expression to accumulating frustrations. It launched the first trade war and technological competition against China in 2018. In its key strategy documents in 2017 and 2018, “great-power competition” and “strategic competition” became the dominant frames for U.S.-China relations, and a bipartisan consensus supporting strategic competition consolidated in Congress. Following the 2020 election of Joe Biden, the U.S. commitment to competition did not just continue but intensified as the Biden administration effectively professionalized and expanded the competitive agenda from 2021 to 2024. That was the starting point as both countries headed into the events of 2025.

There are several important features of this opening stage of strategic competition that persist today. First, from the start, the U.S.-China strategic competition has been broad in scope, covering military affairs, economics, technology, and ideas about governance. U.S. and Chinese interests in these four arenas began to diverge more than they converged, which was reflected in each side’s policymaking. In contrast, the U.S.-Soviet Cold War was mainly a military and ideological competition.⁶

A second feature is the sustained shift in domestic political forces in both countries from supporting engagement to encouraging competition.⁷ This has involved mutual shifts in elite and public perceptions, in domestic political groupings, and in bureaucratic capabilities. As David Shambaugh has argued, coalitions of politicians and business leaders supporting engagement were replaced with coalitions supporting greater suspicion and competition.⁸

⁵ For a wonderful summation of these trends in Chinese thinking and behavior, see Elizabeth C. Economy, *The World According to China* (Cambridge: Polity Press, 2022); and Elizabeth C. Economy, “China’s Alternative Order,” *Foreign Affairs*, May/June 2024 ~ <https://www.foreignaffairs.com/china/chinas-alternative-order>.

⁶ On competition, see Medeiros, *Cold Rivals*; and Hal Brands, ed., *Lessons from the New Cold War: America Confronts the China Challenge* (Baltimore: Johns Hopkins University Press, 2025).

⁷ Evan S. Medeiros, “The New Domestic Politics of U.S.-China Relations,” Asia Society Policy Institute, Center for China Analysis, December 2023 ~ <https://asiasociety.org/sites/default/files/2023-12/ASPI%20CCA%20The%20New%20Domestic%20Politics%20of%20U.S.-China%20Relations.pdf>.

⁸ David Shambaugh, *Breaking the Engagement: How China Won and Lost America* (New York: Oxford University Press, 2025).

Third, this era is characterized by the mutual adoption of more coercive and confrontational strategies toward the other side. These measures have encompassed technology restrictions, visa bans, sanctions on individuals and entities, and restrictions on inbound and outbound investment, as well as larger military actions in Asia and globally. These policies collectively reflect a greater tolerance for risk and friction on both sides in this era. In addition, there has been very little support for sustained bilateral cooperation, even on shared challenges. Both sides treat cooperation as a source of leverage to elicit policy changes in other areas.

A fourth feature of this early period is the narrowing of communication channels. At the government level, there are both fewer and far narrower interactions, driven mainly by meetings and calls between the two national leaders and their top ministers or cabinet secretaries. Military communications have atrophied to a whisper, with a near-total absence of any crisis-management protocols or confidence-building mechanisms.

A final characteristic of this period is its diverse global consequences. U.S.-China tensions now manifest in diverse regions and on issues and institutions far outside Asia. U.S.-China competition has disrupted global trade patterns, supply chains, financial flows, and global defense and alliance relationships. It has put pressure on other countries to make choices on economic and technology policy. It has led to an expansion and modernization of defense and security relations in East Asia, with the advent of the Australia–United Kingdom–United States security partnership (AUKUS) in 2021 being a prime example.⁹

Due to these features, the U.S.-China relationship is still in the opening stage of the strategic competition, in which both sides are probing and testing one another to determine the arenas and boundaries of the competition. Where will they compete and how? What are the central arenas of the competition, and what policies will they use to carry it out? Recent bilateral interactions suggest that both sides are still trying to determine what cost they are willing to pay and what risks they are willing to run. Both sides are asking: where does my side have leverage, and how can it be used in a sustainable way? It is because the relationship is in the early stage of competition that the events of last year are so important.

⁹ See, for example, Victor D. Cha, “Allied Decoupling in an Era of U.S.-China Strategic Competition,” *Chinese Journal of International Politics*, 13, no. 4 (2020): 509–36; and Ellen Kim and Victor Cha, “Between a Rock and a Hard Place: South Korea’s Strategic Dilemmas with China and the United States,” *Asia Policy*, no. 21 (2016): 101–22.

ANALYZING THE U.S.-CHINA TRADE WAR IN 2025

This brings us to the events of 2025 and their impact on U.S.-China relations. Has the current trade war unleashed new dynamics? Do these events represent a turning point in the arc of competition? To explore these and related questions, this section examines in detail the events surrounding the trade war to isolate and identify new patterns of interaction.

As a starting point, the events of 2025 can be divided into four distinct phases, each of which will be examined below:

- Phase 1: *Upping the ante*. The presidential inauguration to “liberation day” (January–April 2025)
- Phase 2: *Escalation spiral*. Liberation day to talks in London (April–June 2025)
- Phase 3: *Probing and testing the boundaries*. The London talks to the U.S.-China Busan Summit (June–October 2025)
- Phase 4: *Setting a new floor*. After Busan to today (November 2025–March 2026)

Phase 1: Upping the Ante—Inauguration Day to Liberation Day (January–April 2025)

The Trump administration began the trade war soon after Inauguration Day in January 2025 and gradually built toward a bigger confrontation on so-called liberation day, April 2. This first phase had two core attributes. First, the administration was supremely confident in the U.S. economic position and leverage over China. This was based on the view that China needed the United States more than the United States needed China. Trump officials argued that China’s economy was weak and needed exports to drive growth, due to its contracting real estate sector and other macroeconomic problems. And the U.S. economy was among China’s most important export markets. In the now infamous words of Treasury Secretary Scott Bessent, “they’re playing with a pair of twos.... What do we lose by the Chinese raising tariffs on us? We export one-fifth to them of what they export to us, so that is a losing hand for them.”¹⁰

Second, the Trump team had a large, diverse, and exclusively competitive agenda with China. The team came into office with a litany of problematic Chinese behaviors that it sought to change and wanted to use economic

¹⁰ Jeff Cox, “Treasury Secretary Bessent Says China’s Escalation Was ‘Big Mistake,’ Country Playing with ‘Losing Hand,’” CNBC, April 8, 2025 ~ <https://www.cnbc.com/2025/04/08/treasury-secretary-bessent-says-chinas-escalation-was-big-mistake-country-playing-with-losing-hand.html>.

tools—mainly tariffs—to do so. This agenda included reducing the bilateral trade deficit, expanding U.S. market access, diminishing the flow of fentanyl precursors from China, and cooperating to end the conflict in Ukraine and elsewhere. In addition, in these early days, a dominant argument from the administration was that it wanted to bring about U.S. reindustrialization and that tariffs were an ideal tool to reshore manufacturing from China to the United States.¹¹

The trade war began barely two weeks after Donald Trump's inauguration, triggering two months of action-reaction dynamics. On February 2, Trump imposed a 10% tariff on Chinese goods over China's lack of progress on limiting exports of fentanyl precursors. The administration also in February eliminated the *de minimis* exception for all countries (with a substantial impact on China), resulting in tariffs on lesser valued goods (such as from ecommerce marketplaces like Alibaba), and Trump signed an executive order restricting Chinese investment in the United States. Beijing retaliated promptly and proportionally to these actions. It imposed tariffs on U.S. energy imports (coal, liquefied natural gas, and crude oil). It also launched an antitrust investigation into Google, put two U.S. companies on its unreliable entities list (UEL), and filed a case with the WTO against U.S. tariffs. In a harbinger of future actions, Beijing imposed export controls on five critical minerals, which appeared designed to target U.S. defense firms.¹²

In March the United States upped the ante. Trump raised the fentanyl tariff to 20% and added over 50 Chinese entities to the U.S. Commerce Department's Entity List, making it much more difficult for those companies to do business with U.S. counterparts. China responded in kind, announcing a 15% tariff on chicken, wheat, corn, and cotton and a 10% tariff on sorghum, soybeans, beef, and other food products. Additionally, China suspended import qualifications for three major U.S. soybean exporters. Beijing also added fifteen U.S. companies to its dual-use export control list and ten U.S. companies to the UEL.

This exchange during February and March revealed much about emerging U.S.-China dynamics and Beijing's approach. First, Beijing was struggling to

¹¹ This argument was most consistently made by the Office of the U.S. Trade Representative. See the Office of the U.S. Trade Representative, "The President's 2025 Trade Policy Agenda," March 2025 ~ <https://ustr.gov/sites/default/files/files/reports/2025/President%20Trump%27s%202025%20Trade%20Policy%20Agenda.pdf>.

¹² The five critical minerals were tungsten, tellurium, bismuth, indium, and molybdenum. See Amy Lv, Lewis Jackson, and Ashitha Shivaprasad, "China Expands Key Mineral Export Controls after U.S. Imposes Tariffs," Reuters, February 4, 2025 ~ <https://www.reuters.com/world/china/china-expands-critical-mineral-export-controls-after-us-imposes-tariffs-2025-02-04>.

understand what Washington wanted from China, which may have tempered Beijing's retaliation. Chinese scholars and former policymakers appeared confused about Trump's priorities for U.S.-China ties, and limited official communication in these early days did not help.¹³ Second, China's responses to U.S. actions were prompt and reciprocal but, importantly, also proportional. Tariffs were met with tariffs, and export control actions were met with similar moves. The Chinese government focused on not only punching back but controlling escalation. Beijing targeted constituencies that mattered to the White House—defense firms, tech firms, and farmers—but not in a manner designed to provoke additional actions. Beijing wanted to cause some pain and send messages to constituencies important to the White House. Thus, Chinese responses may have been reciprocal and proportional, but they were not symmetrical: China deliberately targeted politically sensitive U.S. export sectors rather than mirroring U.S. tariffs. Finally, Beijing prioritized ensuring that U.S. trade actions would not disrupt the Chinese economy, so it began helping exporters find new markets and subsidizing domestic demand.

Moreover, bilateral communication was limited in this period. Trump and Xi did not speak to each other. The U.S. secretaries of state and treasury each had one call with their Chinese counterparts, as did the U.S. trade representative. Curiously, on February 10, Trump stated that he had recently spoken with Xi, but there has not been any evidence of this conversation (and Beijing denied it).¹⁴

Phase Two: Escalation Spiral—Liberation Day to London (April–June 2025)

The second phase of the trade war opened with a bang when, on April 2, Trump raised or leveled “reciprocal tariffs” on more than 180 economies—what the White House called “liberation day.” For China, this level was 34%, in addition to the existing tariffs from the first Trump term and the 20% fentanyl-related tariff imposed in February. China responded quickly and, in a break from the past, in a manner that was not symmetrical and, arguably, not proportional. China reciprocated with a 34% tariff on U.S. imports. It then imposed controls on exports of seven rare earth elements, added 17 more U.S. companies to its UEL and 28 more to the export control

¹³ Conversations with Chinese former officials and scholars, Washington, D.C., spring 2025.

¹⁴ Kanishka Singh, “Trump Says He Has Spoken to China’s Xi since Inauguration,” Reuters, February 11, 2025 ~ <https://www.reuters.com/world/trump-says-he-has-spoken-chinas-xi-since-inauguration-2025-02-11>.

list, launched an anti-trust investigation into DuPont China, and suspended the qualifications of 6 U.S. agricultural firms to export meat and grains to China.¹⁵ In this one move, China deployed almost every arrow in its quiver of economic weapons.¹⁶

The situation further escalated. Washington raised its so-called reciprocal tariff on China to 104% and then to 145% by April 9. The Trump team also raised the *de minimis* duty to 120%. In more narrow actions, during the week of April 14, the Commerce Department imposed license requirements on the export to China of Nvidia's H20 chip (and its AMD equivalent) and increased tariffs on Chinese solar cells imported from Southeast Asia.¹⁷ China responded by raising the tariff on U.S. imports to 125% and halted all Boeing aircraft deliveries. By April 15, both sides stopped at those tariff levels: 145% on the U.S. side and 125% on the Chinese side.¹⁸

These high tariff rates would functionally stop all U.S.-China trade. So, by late April, both sides started signaling a desire to de-escalate. Bessent said on April 22, "No one thinks the current status quo is sustainable."¹⁹ Washington was starting to feel pressure from U.S. corporations about the lack of access to critical minerals and magnets (both permanent and heavy). A day later, China's Ministry of Foreign Affairs spokesperson said: "We have made it very clear that China does not look for a war, but neither are we afraid of it. We will fight, if fight we must. Our doors are open, if the U.S. wants to talk."²⁰ Both sides also started issuing waivers on tariffs for critical goods.²¹

U.S. and Chinese officials agreed to meet in Geneva in early May for talks. After two days of negotiations, the two sides announced a 90-day

¹⁵ See "China's Comprehensive Retaliation Against U.S. Tariffs," Holland and Knight, April 8, 2025 ~ <https://www.hklaw.com/en/insights/publications/2025/04/chinas-comprehensive-retaliation-against-us-tariffs>; and "China Halts Unreliable Entity List, Export Control Measures on Certain U.S. Firms," State Council Information Office of the People's Republic of China (PRC), Press Release, May 15, 2025 ~ http://english.scio.gov.cn/pressroom/2025-05/15/content_117876291.html.

¹⁶ Evan S. Medeiros and Andrew Polk, "China's New Economic Weapons," *Washington Quarterly* 48, no. 1 (2025): 99–123 ~ <https://www.tandfonline.com/doi/full/10.1080/0163660X.2025.2480513>.

¹⁷ See "Trade Compliance Flash: Key Takeaways from New BIS Restrictions on AI Chips to China," Miller and Chevalier, April 21, 2025 ~ <https://www.millerchevalier.com/publication/trade-compliance-flash-key-takeaways-new-bis-restrictions-ai-chips-china>.

¹⁸ The U.S. tariff level was in addition to the roughly 20% tariff level left over from the first Trump administration.

¹⁹ Jeff Cox, "Bessent Says He Expects 'De-escalation' in U.S.-China Tariff Fight in the 'Very Near Future,'" CNBC, April 22, 2025 ~ <https://www.cnbc.com/2025/04/22/bessent-trump-tariffs-china-deescalate.html>.

²⁰ "Foreign Ministry Spokesperson Guo Jiakun's Regular Press Conference on April 23, 2025," Ministry of Foreign Affairs (PRC), April 23, 2025 ~ https://www.fmprc.gov.cn/mfa_eng/xw/fyrbt/202504/t20250423_11602511.html.

²¹ Gerard DiPippo (@gdp1985), "China Is Rumored to Be Considering Exclusions...", X (formerly Twitter), April 24, 2025 ~ <https://x.com/gdp1985/status/1915434883427574119>.

suspension of the reciprocal tariffs imposed since April 2, bringing the U.S. level down to roughly 30% (but leaving the 20% fentanyl tariff in place) and China's level down to 10%. Both sides also committed to suspend or remove nontariff countermeasures taken since April 2. Of particular importance to the United States was China's apparent removal of controls on exports of rare earths and magnets. Importantly, both sides apparently agreed at Geneva not to take new unilateral actions on trade or technology. This was an explicit requirement of the Chinese delegation, which feared an endless "whack a mole" negotiation with the Trump team, as they experienced in the first term. The precise commitments and understandings by both sides in Geneva, however, remain unclear.²²

Whatever their content, the stability provided by the talks was short-lived. The situation rapidly grew more complicated in mid-May, substantially changing the nature of the trade confrontation. In a move that some in the administration treated as a national security matter (and not a trade action), on May 13 the Commerce Department (and its Bureau of Industry and Security) issued new guidance that effectively prohibited both U.S. and foreign companies from using, selling, transferring, financing, or servicing Huawei's Ascend chips. Washington also warned U.S. companies about the potential consequences of allowing U.S. AI chips to be used for training and inference of Chinese AI models.²³ For national security specialists in the administration, the Commerce decision was separate from the trade war and instead related to technological competition. Beijing did not share this perspective, however, and viewed the May 13 action as a violation of the Geneva agreement. It is unclear whether the president and his top advisers involved in U.S.-China talks knew about this Commerce action.²⁴

By the end of May, Washington became frustrated because China had not resumed exports of rare earths and magnets, and the Trump administration was coming under even more pressure about it. U.S. defense firms and auto companies were complaining that the lack of access to rare earths, and especially permanent magnets, was having a highly disruptive impact on their business. Ford Motors reportedly had to temporarily close one car factory

²² Conversations with U.S. industry experts, Washington, D.C., spring 2026.

²³ "Department of Commerce Announces Rescission of Biden-Era Artificial Intelligence Diffusion Rule, Strengthens Chip-Related Export Controls," U.S. Department of Commerce, May 13, 2025
 ~ <https://www.bis.gov/press-release/department-commerce-announces-rescission-biden-era-artificial-intelligence-diffusion-rule-strengthens>.

²⁴ Conversations with current and former U.S. officials, Washington, DC, November 2025.

due to a magnet shortage, and other firms were threatening similar closures.²⁵ Trump posted on Truth Social in late May, “China, perhaps not surprisingly to some, HAS TOTALLY VIOLATED ITS AGREEMENT WITH US. So much for being Mr. NICE GUY!”²⁶

The United States decided to retaliate but used a new and different toolkit, further escalating the trade war. In late May, the administration clamped down on the export of software tools for designing semiconductors, gases such as ethane and butane, and nuclear and aerospace components, in particular jet engines, which China needs for commercial aircraft production.²⁷ The State Department also announced that it would consider suspending visas for Chinese students. Washington was groping for symmetry in the emerging supply chain war following Beijing’s imposition of rare earth controls.

These dueling actions had a different logic than tariffs: they sought to identify chokepoint vulnerabilities and cut them off to generate substantial and heretofore unseen pressure on the other side. They thus created a new sense of crisis. Washington believed that it had reached an agreement in May in Geneva that covered exports of rare earths but that China was slow-rolling its implementation. Beijing had a different approach. It initially argued that the Geneva agreement did not cover Chinese export controls, which were a national security matter not a trade one. It then argued that the United States violated the Geneva agreement with new export control actions on Huawei’s chips.²⁸

Behind the scenes, the Chinese leadership was beginning to signal linkage between controls on rare earths and U.S. controls on advanced chips and related technologies. Bilateral communication was not frequent or clear at this time, making it challenging for U.S. officials to understand precisely China’s position. This linkage became most clear when U.S. and Chinese officials met for a new round of negotiations.²⁹ To address the new crisis, both sides agreed to hold a second round of talks in London on June 9 and 10. In contrast to the previous talks, U.S. technology controls were now on the agenda. The U.S. delegation in London included, for the first time, Commerce Undersecretary Jeffrey Kessler, the top export control official in

²⁵ Keith Bradsher, “Export Controls Are Endangering the Fragile U.S.-China Truce,” *New York Times*, May 29, 2025 ~ <https://www.nytimes.com/2025/05/29/business/china-us-export-controls.html>.

²⁶ “Trump Says China ‘Violated’ Agreement on Trade Talks,” Associated Press, May 30, 2025 ~ <https://apnews.com/article/trump-china-tariffs-trade-war-xi-34e0fc90f720dfd0dd1e41336dd907d6>.

²⁷ Bradsher, “Export Controls Are Endangering the Fragile U.S.-China Truce”; and Ana Swanson, “A New Era of Trade Warfare Has Begun for the U.S. and China,” *New York Times*, June 3, 2025 ~ <https://www.nytimes.com/2025/06/03/business/economy/us-china-trade-supply-chains.html>.

²⁸ Conversations with Chinese diplomats, Washington, D.C., September 2025.

²⁹ On these U.S.-China dynamics, see Swanson, “A New Era of Trade Warfare Has Begun”; and also conversations with current and former U.S. officials, Washington, D.C., spring 2026.

the U.S. government. His inclusion strongly suggested that China was making a direct linkage between rare earths and advanced chips and that the U.S. delegation needed such expertise to negotiate a deal that would allow exports of rare earths and magnets to resume. After two days of intense talks, the two sides reached a framework agreement.

In essence, China agreed to resume exports of rare earths and magnets in exchange for the United States lifting export restrictions on chokepoint items, student visas, and technology. The specific U.S. commitments to China on tech restrictions remain publicly unclear. Did the United States promise to not take additional measures or to not implement existing ones by selling advanced chips to China? The central issue among U.S. experts at the time was whether the U.S. government had crossed a threshold by negotiating on national security export controls. These were previously a sacrosanct category of regulation that Washington refused to negotiate over in trade talks with any country.³⁰

This second phase of the 2025 trade war was consequential in many ways. First and foremost, the trade war had morphed into a supply chain competition focused on chokepoint vulnerabilities. Both sides identified and cut off single-source items to acutely pressure the other. This was the first time both had done so in an escalating matter. Neither side liked the impacts on their economies, however, and they quickly backed away in a reciprocal manner from their chokepoint controls due to the disruptive effects.

Second, China's linkage between U.S. technology controls and Chinese rare earth controls worked for Beijing. Washington effectively signaled it was willing to negotiate its national security controls because Beijing had found a source of leverage.

Third, communication between Washington and Beijing was gradually improving, despite their constant jabs at each other in public. Four days before the June talks in London, Trump and Xi spoke over the phone for the first time since inauguration and it helped. According to the official readouts, the two leaders signaled a desire to de-escalate and return to a more stable economic relationship; this move likely opened the door for both sides to quickly reach an agreement in London. The U.S. delegation was led by the secretaries of Treasury and Commerce and the U.S. trade representative. The Chinese side was led by Vice Premier He Lifeng and two top officials from the Chinese Ministry of Commerce.

³⁰ Ana Swanson, Alan Rappeport, and Jonathan Swan, "Trump Hails Progress with China, but Details Are Sketchy," *New York Times*, June 10, 2025 ~ <https://www.nytimes.com/2025/06/10/business/economy/us-china-trade-deal.html>.

There are two final noteworthy aspects of this second phase of the trade war. One is the scope of the tariff carve-outs and exceptions on the U.S. side. During even the short period of a sky-high 145% tariff, the administration in mid-April quietly granted exemptions for smartphones, computers, legacy chips, and other electronics arriving from China. For U.S. companies such as Apple, HP, and Dell, this was critical to their global business operations. Second, despite the focus on standard trade and export control issues, the administration did push Beijing hard to make progress on the fentanyl problem. During the Geneva talks, Bessent publicly praised Beijing for sending, unexpectedly, a vice minister of public security to discuss Chinese policies and actions. Nonetheless, the 20% fentanyl tariff remained in place for many more months.

Phase Three: Probing and Testing the Boundaries—London to Busan (June–October 2025)

The third phase of the trade war was no less volatile than the first two but had its own momentum, logic, and dynamics. The period began with relative stability in June and July 2025 before rapidly deteriorating. Following the London talks, U.S. and Chinese officials agreed to meet in Stockholm about six weeks later (on July 28–29) to discuss extending the 90-day tariff pause. In the lead-up to the meeting, both sides signaled positive intent. China suspended its antitrust investigation into DuPont China, and the U.S. Commerce Department rescinded its export controls on Nvidia's H20 chip. With little negotiation or drama, both sides readily agreed in Stockholm to another 90-day extension to November 10. As in previous rounds, U.S. policy assumed Chinese economic weakness. During media interviews, Bessent argued that China was experiencing a manufacturing slowdown and a real estate crisis, creating a need for the Chinese leadership to build a consumer economy.³¹

As the White House was negotiating with China, the administration initiated another major part of its response to Chinese actions: diversifying sources of supply. In July 2025, in an unprecedented public-private partnership, the Pentagon agreed to invest \$400 million to take a 15% stake in MP Materials, which owns a rare earths mine on the California-Nevada border. The Trump team then expanded its efforts. In October the White House announced it would take stakes in Trilogy Metals, a Canadian company that

³¹ Alan Rappeport, Ana Swanson, and Melissa Eddy, "U.S. and China Meet as Trade Truce Nears Expiration," *New York Times*, July 28, 2025 ~ <https://www.nytimes.com/2025/07/28/business/us-china-trade-tariffs-talks.html>.

has proposed copper and zinc mining in Alaska, and in Lithium Americas, another Canadian company that is developing large lithium mines in Nevada. Oddly, however, neither of the relevant mines produce rare earth minerals. There was also an international aspect to the diversification efforts. Trump and Australian prime minister Anthony Albanese reached an agreement in October to expand U.S. access to rare earths and critical minerals in Australia.³²

The relative stability brought by U.S.-China trade talks did not last long. By August 2025, U.S. officials became alarmed again at the lack of U.S. access to heavy and permanent magnets. Officials could not determine whether this was a deliberate move or the lack of bureaucratic capacity in China to process the flood of export license applications. U.S. media was replete with rumors that European firms were getting their applications for rare earth and magnet exports approved while U.S. applications lingered. On August 25, Trump publicly threatened a 200% tariff if U.S. firms did not receive access to heavy magnets. And in early September, he called for the European Union to hit China with 100% tariffs over its Russian oil purchases.³³

These renewed tensions set the stage for the fourth bilateral trade talks held in Madrid on September 14–15. As in prior rounds, the agenda was diverse, but in Madrid special attention was paid to a possible deal over the company TikTok, given a looming deadline for Trump to again delay a law banning its U.S. operations. The situation rapidly became messy due to additional U.S. actions. Just days before the talks, Washington announced on September 12 that it was adding 23 Chinese companies to the Entity List. China quickly retaliated by starting an investigation into several U.S. chip producers and announcing that it had determined that Nvidia had violated Chinese antitrust laws.³⁴ At Madrid, the main achievement was that both sides reached a consensus “basic framework” for a deal to transfer majority ownership of TikTok to U.S. investors. On September 25, the president signed an executive order approving the TikTok deal.

³² The information in this paragraph is drawn from Ana Swanson, “The U.S. Struggles to Break Out from China’s Grip on Rare Earths,” *New York Times*, October 22, 2025 ~ <https://www.nytimes.com/2025/10/22/us/politics/china-trump-rare-earth.html>.

³³ James Politi, Amy Mackinnon, and Henry Foy, “Donald Trump Tells EU to Hit China and India with 100% Tariffs to Pressure Vladimir Putin,” *Financial Times*, September 9, 2025 ~ <https://www.ft.com/content/2267eb41-b19a-4a9f-93ca-14ac0343cd77?syn-25a6b1a6=1>.

³⁴ Alan Rappeport, “U.S. and China Resume Talks on Tariffs and TikTok,” *New York Times*, September 14, 2025 ~ <https://www.nytimes.com/2025/09/14/business/us-china-trade-tiktok-negotiations.html>; and Meaghan Tobin, “Nvidia Broke Antitrust Law, China Says, as Tensions with U.S. Mount,” *New York Times*, September 15, 2025 ~ <https://www.nytimes.com/2025/09/15/technology/nvidia-china-antitrust.html>.

Despite the Madrid talks, the situation again rapidly deteriorated in the latter half of September, precipitating a new action-reaction cycle. As before, the escalation was due to a U.S. action. In late September the Trump administration took a major regulatory action directed at China. By some accounts (and unlike in May) the policy change was approved by the White House and by the president himself, but he may not have fully appreciated the scope of its impact.³⁵ On September 29 the Commerce Department adopted the Affiliates Rule, which effectively meant that any majority-owned subsidiary of a foreign company on the Entity List would also be covered by the list's prohibitions. This move expanded the coverage of the Entity List by tens of thousands of companies, substantially affecting Chinese companies all over the world. U.S. officials argued this action was not new but closed a necessary loophole in the law that many Chinese and Russian companies exploited.

China responded with a major escalation and in a manner that was neither symmetrical nor proportional. It was not using the tit-for-tat playbook. On October 9, China announced it would expand its controls on the exports of rare earths to include others critical minerals and related materials and that it was expanding its jurisdiction to control Chinese-origin rare earths used in manufacturing globally.³⁶ The latter move, if implemented, would give China an extraterritorial power to control the global manufacturing of items that used even trace amounts of Chinese-controlled rare earths and related materials in production, including chips, motors, and other high-tech items produced globally. It was the Chinese version of the U.S. Foreign Direct Product Rule. Interestingly, China staggered the future implementation of the new rule in different stages and on different dates.

In response, Trump announced on October 10 that he would impose a 100% tariff on China effective November 1. The United States would also increase controls on critical software sold to China to design chips. At the same time, the Commerce Department added nineteen Chinese entities to the Entity List. On October 14, the U.S. Trade Representative implemented port fees targeting vessels constructed in China and entering U.S. ports, as

³⁵ Conversations with current and former U.S. officials, Washington, D.C., January 2026.

³⁶ The Ministry of Commerce and China's General Administration of Customs issued six announcements tightening export controls on synthetic diamond and cubic boron nitride materials, refining equipment and chemical inputs, five rare earth elements, and high-performance lithium-ion batteries and graphite anode materials. The ministry also added thirteen U.S. companies to the UEL. See Keith Bradsher and Meaghan Tobin, "China Clamps Down Even Harder on Rare Earths," *New York Times*, October 9, 2025 ~ <https://www.nytimes.com/2025/10/09/business/china-rare-earth-exports.html>.

well as vessels owned or operated by Chinese companies. On October 24, the administration initiated an investigation into China's compliance with the Phase One trade deal from the first term.

China retaliated against some of these actions but in a careful and narrow manner. In mid-October, it announced an antimonopoly investigation into Qualcomm and new fees for U.S. ships docking at Chinese ports. China's Ministry of Transport launched an investigation into the impact of U.S. Section 301 measures on China's maritime industry. In a subtle message to U.S. allies partnering with U.S. firms to compete with China, the Ministry of Commerce sanctioned five U.S. subsidiaries of Hanwha Ocean, the South Korean company helping build ships in U.S. shipyards.³⁷

As this new crisis emerged in early October, both sides actively embraced diplomacy. Perhaps the saving grace was the fact that Trump and Xi had agreed to meet in late October for the first time on the margins of the APEC multilateral meeting in Busan, South Korea. There were two diplomatic steps to de-escalation of this crisis. The first involved a two-day meeting between Bessent and his counterpart, Vice Premier He Lifeng, in Kuala Lumpur on October 25–26. Coming out of those talks, Bessent revealed that both sides had “reached a substantial framework” that was a handshake deal but, unlike past ones, was more comprehensive in scope by covering issues outside the immediate crisis.³⁸

The contours of the broad deal became clear following the Trump-Xi meeting on October 30 in Busan. The deal effectively stabilized relations and featured the following:

- The United States agreed to suspend enforcement of the Commerce Department's Affiliates Rule for a year and in exchange China would suspend for one year implementation of its October 9 rare earths export control regime.
- The United States agreed to extend for one year the reciprocal tariff reductions, which were set to expire on November 10.
- The United States agreed to reduce the fentanyl-related tariff from 20% to 10% in exchange for increased Chinese cooperation on limiting fentanyl precursor exports.

³⁷ On this sequencing, see Ana Swanson, “In Retaliatory Move, Trump Threatens 100% Tariffs on Chinese Goods,” *New York Times*, October 10, 2025 ~ <https://www.nytimes.com/2025/10/10/us/politics/trump-xi-china-tariffs-rare-earth.html>.

³⁸ Ana Swanson, “Trump's China Deal May Avert a Crisis of His Own Making,” *New York Times*, October 27, 2025 ~ <https://www.nytimes.com/2025/10/27/us/politics/trump-china-trade-deal-talks.html>.

- Both sides agreed to finalize a TikTok deal, although neither side clarified the terms or timeline for implementation.
- China agreed to purchase U.S. agricultural goods, including 12 million metric tons of soybeans in the last two month of 2025 and at least 25 million metric tons in each of the next three years.
- China agreed to suspend port fees and countermeasures on U.S.-linked vessels in exchange for the United States pausing its own Section 301 tariffs on maritime logistics and shipbuilding.
- Both leaders agreed to exchange reciprocal visits in 2026.

In Trump's public discussion of the meeting outcomes, he did not stress the de-escalation of the trade crisis but rather the Chinese purchases of U.S. agriculture, additional assistance on stopping fentanyl precursor exports, the resumption of rare earth exports, and apparent Chinese pledges to buy liquefied natural gas.³⁹ Also, in a new move, before and after his meeting with Xi, Trump publicly noted that he planned to—and did—discuss with Xi selling advanced Nvidia chips to China, while also specifically excluding the possible sale of the company's most advanced chips known as the Blackwell series.⁴⁰

This third phase of the trade war had several notable features. First, this cycle of escalation and de-escalation was initiated by a U.S. regulatory action (e.g., the Affiliates Rule) but the precise U.S. motivation for adopting the rule amid trade talks remains unclear. Some U.S. experts have argued it was an uncoordinated action by the Commerce Department focused on a security agenda, while others believe the White House approved the action but misunderstood (or was not properly briefed on) its significance.⁴¹ Second, China's response was unlike past patterns in breadth and depth; it was designed to send a strong message and to teach Washington a lesson.

Third, the action-reaction cycle in October had multiple iterations. Each cycle of actions risked severe consequences, and they all played out fast over about four weeks (from September 29 to October 30). These cycles had limited practical effect on both economies and thus effectively constituted an escalating exchange of threats.

³⁹ See Donald J. Trump, "I Had a Truly Great Meeting with President Xi of China..." Truth Social, October 30, 2025; and Ana Swanson, "With China Truce, U.S. National Security Controls Now Appear Up for Negotiation," *New York Times*, October 30, 2025 ~ <https://www.nytimes.com/2025/10/30/us/politics/china-trump-trade-security-chips-minerals.html>.

⁴⁰ Swanson, "With China Truce, U.S. National Security Controls Now Appear Up for Negotiation."

⁴¹ Conversations with current and former U.S. officials, Washington, D.C., January 2026.

Fourth, leader-level interactions were absolutely central to bounding the escalatory cycle and ultimately ending it. A September 19 Trump-Xi phone call was critical to agreeing on a summit in Busan, and then the occasion of the summit on October 30 created a natural boundary around the escalating trade actions of October. The leaders' meeting in Busan created the need for Bessent and He Lifeng to meet in Malaysia, which ultimately drove progress on not just the specific trade issues but the broader policy ones, including fentanyl controls, agricultural purchases, and TikTok. The prospect of additional high-level meetings in 2026 created a shared incentive for compliance and stability.

Fifth, the agreements in Busan for the most part only brought the United States and China back to the *status quo ante* on trade and export controls. The exception was the new commercial agreements concerning TikTok and the agricultural purchases (which China had effectively stopped buying earlier in 2025).

*Phase 4: Setting a New Floor—After Busan to the Present
(November 2025 to March 2026)*

The fourth phase of the current trade war that rounds out its first year and brings us to the time of writing is very different from the others, marked by the relative absence of tensions and escalation and by the U.S. progress on supply diversification. Both sides have sought to reinforce the floor that had been set in Busan and protect themselves against downside risk. Both governments notably took a series of unusually detailed and public actions in 2025 following Busan to signal compliance with their commitments. During a November 24 phone call between Trump and Xi (only a few weeks after their Busan meeting), both leaders remarked on their rapid progress in implementing their commitments.

The central feature of this stage is the shift in U.S. policy to accommodate Chinese concerns. The White House not only has complied with its commitments but has effectively stopped adopting competitive actions and liberalized tech trade with China. These actions were designed to create a favorable environment for a U.S.-China summit in May 2026 (delayed from March) and to improve U.S. chances of getting more from China. China's main concerns were—and remain—focused on U.S. tariffs, U.S. technology controls, and U.S. policy on Taiwan.

This U.S. strategy began with a high-profile policy change in early December when Trump publicly stated that he would allow the sale to China of Nvidia H200 advanced chips (and their equivalent from the AMD Corporation),

while also requiring Nvidia and AMD to pay the U.S. government 25% of the chips' commercial value. Beginning in 2025 but especially since November, the administration has taken a variety of actions to avoid competition and confrontation with Beijing. These include the following:

- Trump removed several National Security Council staffers and Commerce Department officials who had advocated for greater tech controls toward China.
- The U.S. Trade Representative's Section 301 probe into imports of legacy semiconductors postponed any new tariffs to June 2027.
- Discussion of China as a strategic rival was omitted from both the 2026 National Security Strategy and the National Defense Strategy. Notably, the 2026 National Defense Strategy neither labels China a strategic competitor nor emphasizes long-term competition with China—a clear departure from the 2018 and 2022 versions.
- The administration effectively shelved its February 2025 “America First Investment Policy” memorandum, which would have banned many Chinese investments in the United States and possibly led to the delisting of Chinese firms from U.S. stock markets. Instead, Trump has publicly expressed interest in Chinese investment in U.S. factories.⁴²
- The Trump administration froze China-related investigations in the Commerce Department's Office of Information and Communications Technologies and Services; the Commerce Department has reportedly shelved draft rules that would have issued bans on routers from China-founded TP-Link Systems as well as on Chinese drones and trucks.⁴³
- The administration reportedly has postponed efforts to ban the U.S. operations of Chinese state-run telecom companies (China Telecom, China Unicom, and China Mobile), which the Commerce Department has been investigating for national security breaches.⁴⁴

⁴² He stated: “If [foreign automakers] want to come in and build the plant and hire you and hire your friends and your neighbors, that's great. I love that. Let China come in, let Japan come in. They are. And they'll be building plants, but they're using our labor.” See Donald J. Trump (remarks to the Detroit Economic Club, Detroit, January 13, 2026) $\approx$ <https://www.rev.com/transcripts/trump-at-the-detroit-economic-club>. For the memorandum, see “America First Investment Policy,” White House, February 21, 2025 $\approx$ <https://www.whitehouse.gov/presidential-actions/2025/02/america-first-investment-policy>.

⁴³ Karen Freifeld and David Shepardson, “Trump Administration Pushes Out Official Whose Unit Banned Chinese Vehicles, Sources Say,” Reuters, January 23, 2026 $\approx$ <https://www.reuters.com/world/asia-pacific/trump-administration-pushes-out-official-whose-unit-banned-chinese-vehicles-2026-01-23>.

⁴⁴ Alexandra Alper, “Trump Pauses China Tech Bans ahead of Xi Summit,” Reuters, February 12, 2026 $\approx$ <https://www.reuters.com/world/us/us-china-trade-detente-fuels-mothballing-key-china-tech-curbs-2026-02-12>; and Alexandra Alper, “U.S. Probing China Telecom, China Mobile over Internet, Cloud Risks,” Reuters, June 25, 2024 $\approx$ <https://www.reuters.com/business/media-telecom/us-probing-china-telecom-china-mobile-over-internet-cloud-risks-2024-06-25>.

- Trump said he would be willing to discuss U.S. arms sales to Taiwan with Beijing, which constitutes a significant departure from long-standing U.S. policy of handling Taiwan arms sales unilaterally. The administration announced one large \$11 billion arms sale to Taiwan in December, but a second, larger one is reportedly on hold until at least after the meeting with Xi.⁴⁵
- Senior U.S. officials have talked about convening possibly four meetings between Trump and Xi in 2026 alone, which would be a new benchmark in the history of bilateral relations.

The October bilateral agreement with China was only part of the story in this phase. Following the Busan summit, the U.S. government has expanded its domestic supply diversification strategy, focusing on both domestic and international components. In November 2025 the U.S. government announced a partnership with Vulcan Elements and ReElement Technologies, which includes a series of loans and investments to help build a domestic rare earth magnets supply chain. In January 2026 the United States hosted the G-7 finance ministers for a special meeting on rare earth supply chains. Unlike in past G-7 meetings, the ministers agreed on bolder options that include price floors backed by subsidies, guaranteed offtake agreements, a carbon tariff on Chinese rare earth exports, and tighter investment screening to prevent Chinese takeovers of foreign mines.⁴⁶ In a similar move, in December 2025 the State Department launched Pax Silica, which is a coalition of some ten like-minded members (and a few other observers) that agreed to “build a secure, resilient supply chain from critical minerals and energy inputs through advanced manufacturing, semiconductors, AI infrastructure, and logistics.”⁴⁷ Both initiatives are still in their infancy, but the goal is the same—to build sources of critical minerals and supply chains independent from China.

⁴⁵ Edward Wong and Robert Jimison, “Taiwan Arms Sale Approved by Congress Is Delayed as Trump Plans Visit to Beijing,” *New York Times*, February 27, 2026 ≈ <https://www.nytimes.com/2026/02/27/us/politics/trump-taiwan-arms-sale.html>.

⁴⁶ Maki Shiraki and Takaya Yamaguchi, “G7 Finance Ministers Agree to Address Rare-Earth Supply Issues Quickly,” *Japan Times*, January 13, 2026 ≈ <https://www.japantimes.co.jp/business/2026/01/13/economy/g7-rare-earth-supply-issue>.

⁴⁷ “Pax Silica Summit,” U.S. Department of State, Fact Sheet, December 11, 2025 ≈ <https://www.state.gov/releases/office-of-the-spokesperson/2025/12/pax-silica-initiative>.

IMPLICATIONS FOR U.S.-CHINA RELATIONS

The prior analysis raises six major implications for the current dynamics and future direction of U.S.-China competition.

First and foremost, as of the time of writing, economics and technology are now the central arenas of competition between the two states. The trade war highlighted to both governments the foundational importance of economics and technology to national competitiveness, bringing forward the risks and costs as well as the vulnerabilities and strengths on both sides. Rare earths, for example, are critical to producing several U.S. defense and civilian transportation systems.⁴⁸ For China, 2025 highlighted the leverage it possesses with such highly concentrated supply chains. A related finding is that U.S.-China competition in these two arenas is global in nature, given the size and reach of both economies. Absent a major bilateral national security crisis, economics and technology will be the most consistent drivers of U.S.-China competition.

Second, the events of 2025 revealed that this is not simply a classic major-power competition for relative economic and technological advantage (i.e., who has better capabilities); it is a competition for leverage in which both sides are seeking to identify and exploit the economic and technological vulnerabilities of the other while also minimizing their own. In other words, it is not just about relative capabilities but about positional power—commanding a controlling position in global networks and specifically global technology supply chains. Thus, the United States and China are now in a race both for relative advantage and for leverage, though in the current moment the dominant impulse is accumulating leverage to prevent coercion by the other.

In this sense, the events of the last year were less a classic trade war and more a supply chain war in which both sides sought to exploit single-source vulnerabilities. Beijing's use of rare earth controls for the first time against the United States fundamentally changed the nature of the bilateral competition. China's actions highlighted a major advantage, permanently shifting the bilateral dynamic in ways that will persist for years, given the time the United States will need to eliminate this vulnerability.

As a result, the competitive strategies of both sides have also evolved. Washington and Beijing are now even more intensely focused on probing

⁴⁸ "Critical Materials: Action Needed to Implement Requirements That Reduce Supply Chain Risk," U.S. Government Accountability Office, GAO-24-107176, September 2024 ~ <https://www.gao.gov/assets/gao-24-107176.pdf>.

for economic and technological advantage, generating leverage, identifying and reducing vulnerabilities, and playing for time to address each of these objectives. The core U.S.-China dynamic is a race for time to reduce exposure and gain advantages over the other's economic and technological limitations. More specifically, China is sprinting to reduce its reliance on Western semiconductor supply chains, and the United States is trying to reduce its exposure to China's monopoly on rare earths mining, processing, and production. Both have other vulnerabilities, but these are the animating ones arising from the 2025 trade war.

Third, the events of 2025 revealed the asymmetrical nature of U.S. and Chinese vulnerabilities and leverage. Both countries are vulnerable (but in very different ways); both have some advantages (also in different ways); both are willing to weaponize their interdependence; and both are unsure of the precise costs. The events of the last year have taught both Washington and Beijing a little more about the risks and costs of intensive economic and technological competition. These events have also underscored the importance, for both countries, of their positions within global networks of trade, finance, and critical minerals and the relationship between their positional power and their evolving competition for leverage. Based on the events of 2025, it appears that U.S. vulnerability to China is broad and its leverage is narrow, affording China an advantage right now. And China's vulnerability to the United States in peacetime is narrow and its leverage is broad, limiting U.S. options. This is a snapshot of today, not a forecast of the future

For the United States, China possesses an asymmetrical advantage in its control of the global supply of critical minerals, rare earths, and magnets, and this affects sectors critical to numerous U.S. defense and civilian priorities. The United States is unlikely to minimize Chinese leverage in less than three to five years at the earliest. The sharp U.S. reaction to the rare earth controls validated for Beijing its leverage, fostering greater confidence about its bargaining position. It also appears that China was able to establish a credible linkage between its rare earth controls and U.S. technology controls, giving Beijing added leverage to minimize U.S. technology policies directed at China.

More broadly, the trade war highlighted that China's substantial purchases of U.S. agricultural goods, both grains and animal products, are politically important to U.S. leaders, which provides Beijing with another source of leverage. Although China did not act on it in 2025, recent research indicates that China may have other sources of influence as well, such as its control

of biopharma and biotech supply chains. In short, any dominant Chinese position in a global supply chain affords it some leverage.⁴⁹

By contrast, China's vulnerability to U.S. actions is narrow, at this moment. It is more commodity specific than sector specific. Washington's chokepoint actions against China (for example, on semiconductor design tools and jet engines for commercial airliners) were narrow but effective. After the United States deployed them, China came back to the table in London in June and agreed to resume sales of rare earths and magnets. But Beijing's actions were also likely motivated by the United States' willingness to discuss its latest technology controls (especially access to advanced chips), which is a second source of U.S. leverage. The U.S. ability to deploy and withdraw such chip controls gets China's attention and may be able to elicit policy changes. A third U.S. tool is tariffs, but they had unclear effects. In both phase two and phase three of the 2025 trade war, Trump used the prospect of over 100% tariffs, even though such levels were never effectively adopted. But it is unclear whether another U.S. president or administration could credibly threaten such extreme tariff levels. Also, current research clearly indicates that Chinese exporters quickly adjusted to the tariffs by finding new markets and even gained global market share in 2025, undermining their cost.⁵⁰

When assessing U.S. leverage (and China's corresponding vulnerabilities), there are a wider assortment of tools available to U.S. policymakers due to the U.S. dominant position in global financial networks. These include controlling China's access to the U.S. dollar system, to the SWIFT global payment system, and to U.S. capital markets; separately, the global reach of U.S. export controls, especially when working with allies, can impose real costs on Chinese high-tech manufacturing capabilities. The challenge for the United States is that these tools are so highly disruptive and costly to the global economy that they are less credible in peacetime than during a conflict. Thus, it is not clear that they can be a credible part of the balance of leverage in the everyday, rough-and-tumble world of U.S.-China competition.

In discussing the nature of U.S. and Chinese leverage and vulnerabilities, there is a final point worth making about bargaining behavior. The 2025 trade war revealed certain Chinese patterns of behavior regarding the country's use of its newfound leverage. China's retaliation was consistently reciprocal in form (it always responded to U.S. actions), intermittently proportional in

⁴⁹ Justin G. Muzinich et al., "U.S. Economic Security: Winning the Race for Tomorrow's Technologies," Council on Foreign Relations, Task Force Report, no. 83, November 13, 2025 ~ <https://www.cfr.org/task-force-report/us-economic-security>.

⁵⁰ DiPippo, "Changing Course in a Storm."

scope and rate (most clearly in April and after London), but only selectively symmetrical—and deliberately so. It was increasingly asymmetrical as the trade war progressed, leading to the most asymmetrical action in October 2025. China's strategic use of nontariff instruments (e.g., rare earth controls, entity lists, antitrust investigations) was a conscious choice to exploit asymmetries rather than mirror the U.S. approach, and it did so a few times in 2025. That asymmetry was arguably China's most important tactical innovation of the 2025 trade war, and it is what gave Beijing real leverage at the negotiating table.

A fourth consequence is that the trade war of 2025 has produced a degree of stability in U.S.-China ties. In 2026, both sides so far are focused on managing economic and political engagements, with the prospect of Trump and Xi meeting up to four times over the course of the year. Some see this stability as a product of the mutual economic vulnerability experienced during the trade war—an economic equivalent of mutual assured destruction (MAD). One analyst even referred to it as “mutually assured economic disruption.”⁵¹ However, it is unclear how real and resilient this stability will be. As argued above, the mutual vulnerability is not symmetrical, and both sides have additional cards they have not played. The stability is based on a shifting calculation—in Beijing and Washington—of what costs each is willing to pay, and this is an inherently political calculation. A precipitous deterioration could alter the cost calculation. Other arenas of competition—diplomacy or military affairs—could complicate and spill over into the arenas of economic and technological competition. Finally, as nuclear strategists of the Cold War often highlight, stability under MAD took years to achieve and even then both powers actively sought to exit from it, which generated its own risks.

A fifth implication is that there are immediate domestic and international consequences of the evolving U.S.-China race for economic and technological advantage. The outcome of the competition will be determined as much by domestic policy as by foreign policy. Domestically, both sides are intensively focused on identifying and minimizing exposure by making domestic investments but with different timelines and success rates. China began its domestic de-risking agenda years ago, dating back to the first Trump administration. It has since made substantial efforts to diversify dependence on both U.S. suppliers and U.S. domestic demand. Many of these efforts are captured in the 2021 14th Five-Year Plan and the pursuit of a “dual-circulation

⁵¹ Craig Singleton, “Welcome to the Era of Mutually Assured Disruption,” *Foreign Policy*, October 17, 2025 ≈ <https://foreignpolicy.com/2025/10/17/us-china-trump-xi-trade-summit-conflict>.

economy” that sought to reduce dependence on other countries while increasing their dependence on China. The resulting increase in Chinese exports and reduction in imports over recent years is a direct consequence. Early in the 2025 trade war, China adopted several domestic policies to assist its exporters in the face of larger U.S. tariffs, and it had much success in doing so. The area where domestic investments have not yet paid off is in building advanced chips, which remain less powerful than those from Nvidia and AMD.⁵² In 2026, China’s new 15th Five-Year Plan called for “extraordinary measures” to break through the country’s chokepoint vulnerabilities, a theme that ran through the document.⁵³ Regarding U.S. domestic investments, the U.S. government and companies have been slower on this front. Yet, as noted above, the trade war accelerated several U.S. government projects to find and develop new sources of critical minerals, rare earths, and heavy magnets.

Internationally, the U.S.-China race for economic and technological leverage is raising costs and creating policy dilemmas for countries that are heavily exposed to both economies.⁵⁴ For Beijing, the policies that likely mattered most in cushioning the shock from the tariffs were the expansion of trade finance and export credits, the managed exchange rate that preserved trade-weighted competitiveness via undervaluation, and the acceleration of diversification toward non-U.S. markets.⁵⁵ During the trade war, China’s global exports grew in aggregate terms, and its share of global exports expanded as well. The country’s trade surplus peaked at over \$1 trillion in 2025 (and not just due to declining imports).⁵⁶ In 2025, Beijing helped

⁵² To be more precise, China’s chips lag significantly in volume, manufacturing yield, and aggregate compute capacity rather than in simply raw single-chip performance. See Chris McGuire, “China’s AI Chip Deficit: Why Huawei Can’t Catch Nvidia and U.S. Export Controls Should Remain,” Council on Foreign Relations, December 15, 2025 ~ <https://www.cfr.org/articles/chinas-ai-chip-deficit-why-huawei-cant-catch-nvidia-and-us-export-controls-should-remain>.

⁵³ “Lianghui shouquan fabu gun zhonghua renmin gongheguo guomin jingji he shehui fazhan di shiwu ge wu nian guihua gangyao” [Two Sessions Authorized Release: Outline of the 15th Five-Year Plan for National Economic and Social Development of the People’s Republic of China], Xinhua, March 13, 2026 ~ <https://www.news.cn/politics/20260313/085af5de5a4b4268aa7d87d90817df2f/c.html>.

⁵⁴ For an excellent analysis of these issues, see Paul Haenle et al., “A Global Contest: How U.S.-China Competition Is Disrupting Global Business and Investment,” JP Morgan Chase Center for Geopolitics, January 2026 ~ <https://www.jpmorganchase.com/content/dam/jpmorganchase/documents/center-for-geopolitics/jpmc-global-china-cfg-report.pdf>.

⁵⁵ DiPippo, “Changing Course in a Storm”; and Gerard DiPippo and Benjamin Lenain, “Testing Self-Reliance: What the Trade War Reveals about China’s Vulnerabilities and Power,” RAND Corporation, June 10, 2025 ~ <https://www.rand.org/pubs/commentary/2025/06/testing-self-reliance-what-the-trade-war-reveals-about.html>.

⁵⁶ See DiPippo, “Changing Course in a Storm”; and Alexander Al-Hashimi et al., “China’s Growing Trade Surplus: Why Exports Are Surging as Imports Stall,” European Central Bank, ECB Economic Bulletin, no. 7/2025, November 2025 ~ https://www.ecb.europa.eu/press/economic-bulletin/focus/2025/html/ecb.ebbox202507_01~83b0e7edd4.en.html.

Chinese exporters find new markets in both developed economies (e.g., Europe) and developing economies (e.g., Southeast Asia) as well as shift more of their manufacturing overseas. But these Chinese policies generated negative consequences for local economies, including by undercutting and dislocating local manufacturers.⁵⁷ China's growing exports, both those linked and not linked to the trade war, have prompted a new debate about a "China shock 2.0."⁵⁸

The global economic implications for the United States differed, mainly due to the global nature of its tariff regime. Washington subsequently negotiated tariff-reduction agreements with many economies, and many of these agreements included provisions requiring trade partners to align their approach to trade with China with U.S. export control laws and other policies. Mexico, for example, agreed to almost fully align its policies with those of Washington to maintain U.S. market access, including by effectively banning Chinese electric vehicle firms from producing or assembling vehicles in country. U.S. trade agreements with European and Asian allies and partners also included a range of stipulations on China. Most focused on eliminating China's ability to avoid tariffs via transshipment by imposing high tariffs on transshipped goods. The U.S. agreements with the United Kingdom (nonbinding), Malaysia (binding), Cambodia (binding), and Indonesia (binding) were notable in their willingness not just to prevent transshipment but to align their policies on export controls, sanctions, and investment screening related to China. Oddly, the binding agreements with Malaysia and Cambodia were the most specific in their requirements. U.S. agreements with Australia, Japan, and South Korea were more general in their commitments to coordinate on China and economic security.

A sixth and final implication is that in this new era of strategic competition focused on economic and technological capabilities the burdens on government policymaking are substantially growing, especially for the United States. Given the scope of the competition revealed in the events of 2025, effective U.S. responses will now require not only coordination among a greater number of entities *within* the U.S. government but *between* government and business sectors, including multiple companies within those sectors. Such tasks are especially challenging in a democratic market economy

⁵⁷ Patrick Schulte, Almira Enders, Andreas Esser, and Felix Strobel, "From Tariffs to Trade Flows: Diversion Effects and China's Exports to the EU," Centre for Economic Policy Research, February 27, 2026 ~ <https://cepr.org/voxeu/columns/tariffs-trade-flows-diversion-effects-and-chinas-exports-eu>.

⁵⁸ David Autor and Gordon Hanson, "We Warned about the First China Shock. The Next One Will Be Worse," *New York Times*, July 14, 2025 ~ <https://www.nytimes.com/2025/07/14/opinion/china-shock-economy-manufacturing.html>.

like the United States, which is just beginning to grapple with the challenges of effective industrial policy. Coordinating across the U.S. government and then effectively working with private industry—while credibly signaling resolve and ability to China and allies alike—will be a monumental challenge. With its Leninist political system, China's ability to identify and allocate resources for an enduring economic and technological competition are far greater, at least in the short term. China's moves in 2018 toward resilience and diversification and then its quick economic policy response to the trade war are notable in this regard.

CONCLUSION

The United States and China have clearly transitioned to a new phase of their bilateral competition. Questions of economic and technological strengths and vulnerabilities have moved to the forefront. Both sides are exploring the boundaries of this new phase and using new tools to do so. The resulting bilateral interactions involve complex—and politically challenging—calculations of costs and risks by both Washington and Beijing. The precise calculations on each side of their interests and stakes in this economic and technological rivalry are still evolving.

In this era of economic and technological competition, the race to reduce vulnerabilities and accumulate leverage will be a dominant bilateral dynamic. China is coming into this phase better prepared than the United States. It has both developed a new set of economic weapons and majorly re-engineered its domestic economy to be less vulnerable and more resilient. While the United States has many tools at its disposal as well, they all come with costs and risks of their own, and U.S. domestic exposure to China remains substantial, complicating its leverage. The race dynamic has generated a degree of stability today, but its underlying resilience is questionable. The basis of this stability is less a shared structural vulnerability (as existed between two nuclear powers during the Cold War) than a political decision about which costs either side is willing to pay at a given time. Also, a key feature of the current phase is the desire by both sides to play for time to address their vulnerabilities, which has encouraged them to invest in stability. This calculation could change in the future, especially when specific vulnerabilities are addressed.

Looking to the future, several factors will have outsized influence on U.S.-China interactions. In the era of Trump and Xi, leadership interactions will set the pace and have a decisive influence on the race for leverage in economic and technological affairs. If the events of 2025 and early 2026 are

any indication, the preferences of these two leaders will drive the relationship more than their top advisers or other bureaucratic actors. Second, given the race dynamic at the heart of the competition, the speed of the domestic progress both sides make in minimizing their vulnerabilities will be a key factor in shaping their future interactions. The scope of support from like-minded nations in backing moves by either or both will similarly influence the race dynamic and the overall trajectory of the competition.

Finally, the arenas of economic and technological competition cannot continue to be compartmentalized from the other arenas, namely diplomatic and military competition and especially the Taiwan issue. The degree of spillover among these arenas is, in fact, far greater and more likely than during the U.S.-Soviet rivalry simply due to the elevated baseline level of bilateral and global interdependence. Competition in these arenas will escalate at some point, either intentionally or inadvertently, affecting economic and technology policy. Future projections for U.S.-China competition are sobering. ◆